

Power Finance Corporation Ltd (PFC)

Sector: Financials

ROE

26.2%

ROCE

3.5%

D/E

8.52x

OPM

36.7%

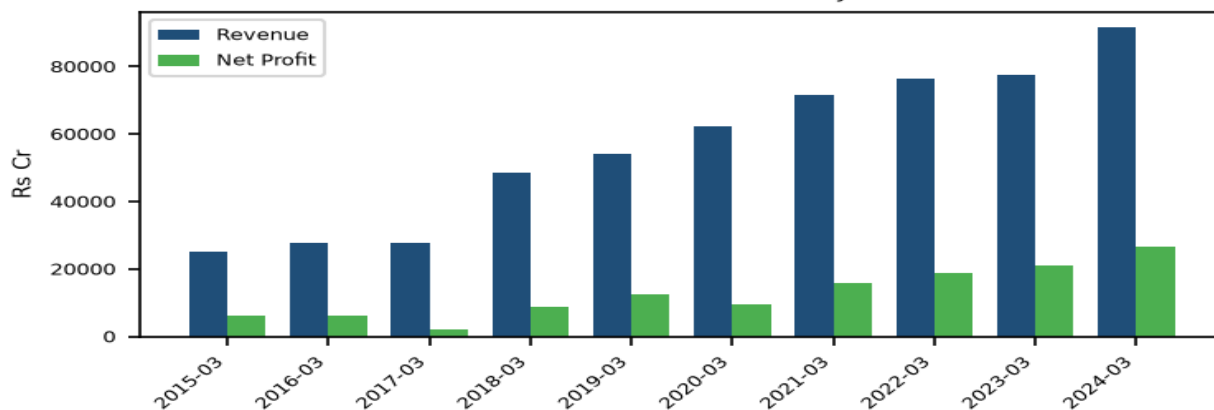
Revenue CAGR 5yr

11.1%

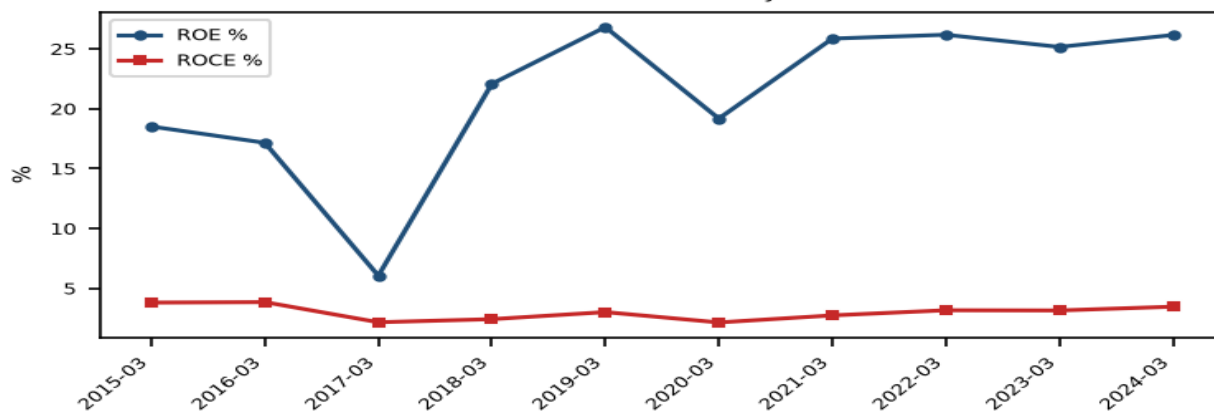
Free Cash Flow

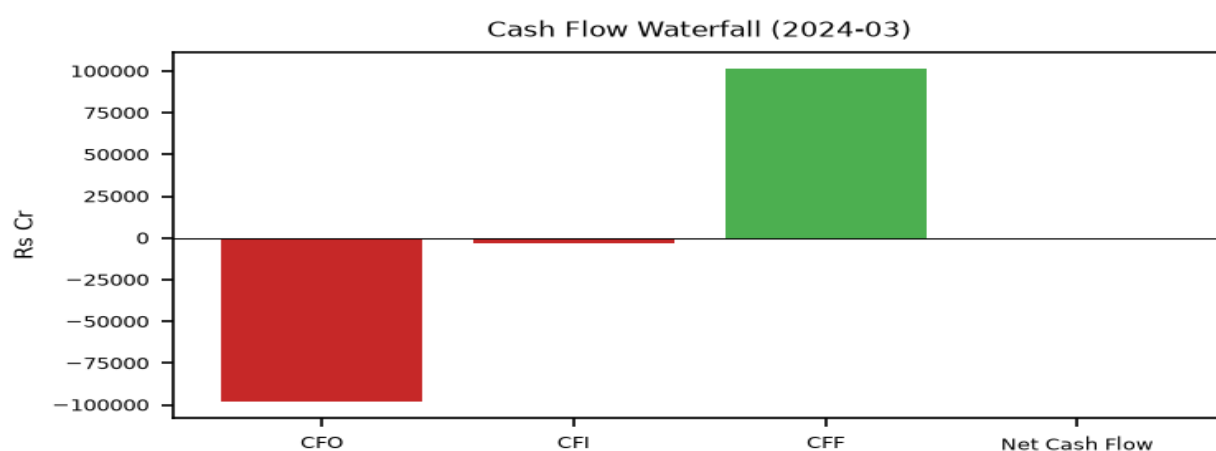
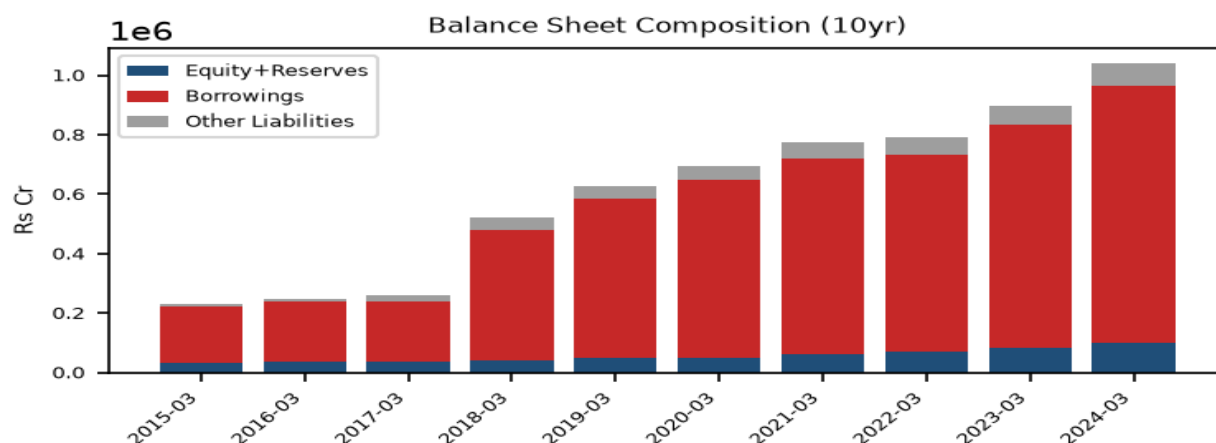
Rs -101,229 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt